

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$256.60 ▲ 2.07%	12M Price Target \$295.00	52-Week Range \$196.00 – \$287.20	Market Cap \$2.77T
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AMZN: Breaking Out as AI Capex Story Reignites

WHAT HAPPENED

- AMZN popped 2% on noticeably LIGHT volume (~20M vs the usual 35-40M) — that's a tell. When a stock rallies hard on thin volume, it usually means there's no seller pressure, not that there's a flood of new buyers. Combined with the massive call buying at the \$255 strike (51K contracts, 12x open interest), someone is positioning for a near-term move higher — likely into Q3 earnings in late October.
- The CEO of Worldwide Stores sold a token 1,000 shares — that's a nothingburger, probably a scheduled 10b5-1 sale. Don't read into it.

WHY IT MATTERS

Here's what I think is really going on: the stock is grinding toward its 52-week high (\$287) and the options market is screaming that traders expect a breakout. The utilities sector leading today (+2.24%) is a huge tell — utilities are the "AI power" trade right now because data centers need insane amounts of electricity, and that's a direct read-through to AWS demand. If utilities are ripping, the market is betting AI capex is accelerating, which means AWS revenue is about to surprise to the upside. Watch for AMZN to test \$270 before earnings — if it gets there, the call buyers are going to force a gamma squeeze (market makers who sold those calls have to buy stock to hedge, pushing the price higher).

POLICY & POLITICAL WATCH

The big policy overhang is the FTC antitrust case — the remedies phase is dragging into 2026 and the market has largely tuned it out, but any headline about forced divestiture of AWS or the logistics arm would hit this stock hard. On the tailwind side, the Trump administration's push to re-shore AI infrastructure (and the ongoing federal AI procurement expansion) directly benefits AWS GovCloud, which is competing with Microsoft Azure for the next wave of DoD and intelligence contracts. Also watch the de minimis tariff loophole — if Congress fully closes it (bipartisan support exists), Chinese competitors like Temu and Shein get hammered on pricing, and Amazon's third-party marketplace is the obvious winner.

IS IT EXPENSIVE?

At ~37x forward earnings, AMZN isn't cheap in absolute terms, but you're paying roughly \$3.80 for every \$1 of revenue — which is actually reasonable for a business where AWS (the crown jewel) is still growing ~19% with 35%+ margins. The real question isn't the multiple, it's whether AWS can hold its growth rate against Azure and Google Cloud. If it can, this stock is cheap; if it can't, it's expensive.

Key Data

Price (USD)	\$256.60
12M Price Target	\$295.00
Upside / (Downside)	+15.0%
Market Cap	\$2.77T
FY2026E Revenue	\$724M
FY2027E Revenue	\$798M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$245.00
6 Months	\$310.00	\$285.00	\$230.00
1 Year	\$340.00	\$295.00	\$220.00
2 Years	\$420.00	\$345.00	\$210.00
5 Years	\$600.00	\$450.00	\$240.00
10 Years	\$1000.00	\$700.00	\$300.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+2.24%) and Energy (+3.90% on the week) — this is the "AI needs power" trade, and it's a leading indicator for cloud spending. Industrials also strong, suggesting capex is broadening.

COOLING OFF: Nothing is really cooling today — Real Estate was weak over 5 days (-0.73%) which usually signals rate expectations ticking back up.

ROTATION WATCH: Money is rotating into the AI-infrastructure stack (power, data centers, cloud) and out of rate-sensitive stuff. That's a direct tailwind for AWS — when utilities and energy rally together, it means institutions are betting on sustained data center buildout.

RELATED PLAY: If you believe the AWS story, the picks-and-shovels plays are the data center REITs (DLR, EQIX) and power names (VST, CEG) — they benefit whether AWS or Azure wins the AI race.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure continues taking share in enterprise AI; Copilot monetization is beating expectations.
- GOOGL (Alphabet): Gemini traction plus the antitrust ruling being less punitive than feared has unlocked a re-rating.

AMZN CONTEXT: AMZN has been LAGGING MSFT and GOOGL year-to-date — which actually makes it the catch-up trade. If AWS delivers a clean Q3, the valuation gap closes fast. The call flow suggests smart money is betting on exactly that.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The options flow, sector rotation, and setup into earnings all line up. Not a 10 because the FTC overhang is real.

POSITION SIZE: 4-6% of portfolio — large enough to matter, small enough that an FTC headline doesn't wreck your year.

ENTRY POINTS: Add on pullbacks to \$248-252 (the recent base). If it breaks \$270 on volume before earnings, chase it small.

TIME HORIZON: 12-24 months, with the Q3 earnings print in late October as the near-term catalyst.

WHEN TO BAIL: AWS growth below 15%, any structural FTC remedy, or a break below \$230 on heavy volume.

HEDGING: Buy some out-of-the-money puts for January as cheap insurance against an FTC headline — think of it like paying \$2 for a \$10 lottery ticket that only pays off if something bad happens.